Grupo Bimbo
Regenerative Agriculture
Progress Report, June 2024

## Regenerative Agriculture

At Bimbo, we work hard to ensure that our key ingredients come from land farmed using regenerative agriculture. To do so, we are implementing three approaches. First, the continued work on our internal strategy for Regenerative Agriculture, followed in second place by field projects in different parts of the world promoting best practices and three, enhancing the initiative's transparency using action plans each year and two progress reports, in June and December.




## 01 Strengthening our strategy

We created the regenerative agriculture framework for wheat and corn, which are key ingredients for us. In this report, we have set out the practices that will be promoted across our program, including:

- Zero or minimal tillage (soil preparation).
- Living roots (using cover crops and rotation crops).
- Leave 100% of the residue from previous crops.

Additionally, we have set out the KPIs that we will use to evaluate the progress and benefit of regenerative agriculture practices. The defined indicators focus on the following topics:

- Soil Health
- Biodiversity
- Improvements to the communities of our farmers
- Sustainable use of agrochemicals
- Water Footprint
- Yield

It is vital to be able to create a baseline on all the plots of land where our key inputs are produced and validate that they are produced on lands that are regenerated or transitioning to regenerative practices.

## 02 Expanding our efforts in the field

At Grupo Bimbo, we collaborate with different actors including our suppliers, research centers and civil society organizations to promote regenerative agriculture in the different regions and countries from which we source.

### Mexico

In 2023, we had significant expansion in terms of number of acres in Mexico under regenerative agriculture practices, growing from 6,776 Ha in 2022 to 15,643 Ha in 2023, with a growth of 63% in corn and wheat. By 2024 we seek to cover an area of just over 17,000 Ha in both crops. In this project, we promote the implementation of regenerative agriculture practices, achieving a reduction of up to 14% in water consumption in the states of Sinaloa, Sonora and Guanajuato and a potential reduction of up to 40% in the carbon footprint of crops where the level of implementation of practices is higher. We also promote the use of cover crops that can reduce erosion and increase soil health and biodiversity.

### North America

As we finalize our 2024 programs in North America, we would like to share some results from our 2023 harvest programs in the US and Canada:

- More than 270 farmers participated in the 2023 program, spanning more than 11 states in the United States and 4 provinces in Canada.
- The percentage of no-till acres and cover crop acres far exceeded benchmarks, for example, 87% no-till in one of our programs versus 39% state benchmark.
- Lower agrochemicals use and greenhouse gas emissions were recorded compared to benchmarks.

**South America**

In South America, we continue working to enroll farmers on the program and begin baseline measurement in our supply regions in Argentina, Uruguay, Paraguay and Brazil. In addition, we are exploring how to expand our regenerative agriculture projects globally to other continents.

## 03 Transparency

In December, we will share the rest of our progress during 2024 in Regenerative Agriculture.